



Islamic University of Technology

Department of Computer Science and Engineering (CSE)

B.Sc. in Software Engineering

HUM 4747: Legal Issues and Cyber Law

Winter, 2024-2025

Assignment 2

IP Infringement

Aashnan Rahman
Junior Lecturer, CSE

Date: March 9, 2026

IP Infringement

1 Recent Cases of IP Infringement

A few recent cases of IP infringement in the tech industry are mentioned below:

i) **Thaler v. Perlmutter (AI-Generated Art Copyright Denial, 2023–2026)**

Stephen Thaler sought copyright for an artwork created entirely by his AI system (DABUS) with no human author listed. The U.S. Copyright Office, a D.C. district court, and the D.C. Circuit all said human authorship is a “bedrock requirement,” and in March 2026 the U.S. Supreme Court refused to hear the appeal, leaving that human-authorship rule in place. Interesting because it sets a clear line for AI-only outputs, which has knock-on effects for AI-generated code, UI assets, and test data.

ii) **The New York Times Co. v. OpenAI and Microsoft (AI Training on News Articles, 2023–Ongoing)**

The New York Times sued OpenAI and Microsoft in late 2023, alleging their models were trained on millions of Times articles without permission and then reproduced or closely paraphrased them, allegedly harming NYT’s subscription and licensing markets. In 2025 a federal judge allowed key claims to proceed, treating NYT’s theory of “induced infringement” and training-data use as plausible, so the case is now in an intense fair-use and damages battle phase. This is central for anyone using web-scraped data to train models.

iii) **Youngblood et al. v. Meta (Scraping YouTube Videos for AI Training, 2026)**

In February 2026, several YouTubers and podcasters filed a class action accusing Meta of circumventing YouTube’s technical protection measures to scrape videos and use them to train a non-generative video model (V-JEPA), alleging DMCA anti-circumvention violations. They later voluntarily dismissed this Meta suit, but the core theory (bypassing platform protections for AI training) continues against other defendants, and highlights the legal risk of scraping content at scale.

iv) **Youngblood / Chmura v. Snap (YouTube Scraping for Datasets, 2026)**

YouTube creator Nicole Chmura brought a class action against Snap in 2026, claiming Snap scraped YouTube videos to build datasets like HD-VILA-100M and Panda-70M, bypassing YouTube’s protections to fuel AI training. The complaint leans heavily on DMCA anti-circumvention and shows how dataset creation for computer vision/ML can be treated as a separate legal problem from mere copyright infringement.

v) **Businnessing LLC (Ali Spagnola) v. Runway AI (Video Training Data, 2026)**

A YouTube-based media company sued Runway AI in 2026, alleging Runway scraped and downloaded protected YouTube videos by bypassing technical measures to train its video-generation tools. Again, the focus is on anti-circumvention and platform terms, not just copying, which makes it highly relevant for anyone building or using video datasets.

vi) **Record Labels v. Suno and Udio (AI Music Models, 2024–Ongoing)**

Major record labels, via the RIAA, sued AI music services Suno and Udio, claiming they used copyrighted sound recordings without licenses to train generative music models capable of outputting song-like tracks. The cases test whether mass ingestion of recorded

music for training can be justified under fair use and what remedies might look like if not.

vii) **Spotify and Eminem’s Publisher (Streaming License Dispute, resolved 2024)**

Eminem’s music publisher sued Spotify over allegedly unlicensed streaming of his catalog; Spotify argued others (like Kobalt) were responsible for the missing paperwork. The court ultimately sided with Spotify and rejected the publisher’s claims, underscoring how complex liability can be in digital music licensing chains.

viii) **Getty Images v. Stability AI (AI-Generated Watermarks, 2023–Ongoing)**

Getty claimed Stability AI’s Stable Diffusion system reproduced Getty’s distinctive watermark or confusingly similar marks in generated images, suggesting direct ingestion of Getty-licensed photos. That raises questions about source-specific artifacts “leaking” into outputs and where the line lies between training and reproducing a branded asset—very relevant to image and design tools.

ix) **Yuga Labs v. Ryder Ripps (Bored Ape NFTs, 2023–2025 Appeal)**

Yuga Labs, creator of the Bored Ape Yacht Club NFTs, sued artist Ryder Ripps over a series of look-alike NFTs and the use of BAYC branding in his project. Courts largely sided with Yuga, emphasizing that repackaging a project as “artistic commentary” doesn’t automatically avoid liability when the branding and imagery are highly similar.

x) **Meta Rebrand Name Conflict (Meta.is vs. Meta Platforms, 2022–Ongoing)**

A smaller company using the “Meta” name for artistic and experiential services sued Meta Platforms after Facebook’s big name change, claiming confusion and damage to its existing brand. The dispute exemplifies the collision between a massive rebrand and pre-existing rights in the same or similar mark.

xi) **Atyati vs. Cognizant (Disputed Logo in IT Services, 2024–2025)**

Indian IT company Atyati persuaded a court to temporarily stop Cognizant from using a contested logo that Atyati said was too close to its own device mark. Cognizant even dropped the logo from social media during the dispute, showing how quickly branding assets can be frozen by interim orders.

xii) **Tech Trademark Cases in Software and Apps (2023–2025 Overview)**

Recent software-focused disputes include conflicts over similar app names, overlapping icons in mobile stores, and cloud tools whose naming or UI allegedly “rides on” better-known brands. For students, these illustrate how easily naming collisions and similar platform identities can become legal issues in app ecosystems.

xiii) **Alifax v. Alcor Scientific (Blood Analyzer Algorithms, U.S., 2024)**

Medical device maker Alifax accused Alcor of misusing a confidential conversion algorithm for blood analysis instruments, treating the formula and implementation details as protected secrets. A jury agreed that Alcor misappropriated a trade secret and awarded millions in damages, reinforcing how “hidden” calibration and processing logic can be legally protected.

xiv) **Motorola Solutions v. Hytera (Radio Systems Know-How, U.S., continuing impact)**

Motorola argued that ex-employees brought over proprietary radio communications designs and code to competitor Hytera, leading to products suspiciously similar to Motorola’s. Courts found significant misappropriation and issued high damages plus injunc-

tive relief, making this a textbook example of employee mobility leading to trade secret fights.

- xv) **Sigma Corporation Supplier List Case (Business Data as Trade Secret, 2024)**
Sigma claimed a former employee funneled confidential supplier and pricing information to a rival, Island Industries, giving it an unfair edge in sourcing and bidding. The dispute shows that non-technical assets—like curated supplier lists and terms—can still qualify as protectable secrets when the company treats them as confidential.
- xvi) **General Access Solutions v. Verizon (5G Network Technology, 2024)**
A Texas jury hit Verizon with an approximately 847-million-USD verdict for infringing patents targeting core aspects of 5G and broadband communications infrastructure. The size of the award underscores how central infrastructure patents can translate into “bet-the-company” litigation risks for network operators.
- xvii) **Kove IO v. Amazon Web Services (Cloud Storage and Indexing, 2024)**
Startup Kove IO won a roughly 525-million-USD jury verdict against AWS over patents covering distribution and retrieval of large-scale data in cloud systems. It’s a key case for cloud providers because it targets backbone mechanisms (sharding, indexing, location tracking) rather than user-facing features.
- xviii) **Netlist v. Micron (Memory Technology, 2024)**
Netlist convinced a jury that Micron’s memory modules incorporated its patented technology without permission, leading to hundreds of millions in damages. For hardware/SWE, this illustrates how specialized memory controller and module designs are heavily patented and aggressively litigated.
- xix) **Netlist v. Samsung (Server DIMM Designs, 2024)**
In a related battle, Netlist also obtained a significant verdict against Samsung over data-center memory designs that allegedly used Netlist innovations without proper licensing. Together, the Netlist cases show how smaller IP-rich firms can use litigation to extract value from giants in the semiconductor stack.
- xx) **CSC (Computer Sciences Corp.) v. Tata Consultancy Services (Insurance Software, 2023–2025)**
CSC accused TCS of copying source code and technical documentation for its Vantage-One and CyberLife insurance platforms to build a competing system. A Texas jury in 2023 awarded about 210 million USD for trade secret misappropriation, and the Fifth Circuit later upheld the core win, making this a stark warning about mishandling client code and documentation in outsourcing.
- xxi) **Hefei Meyer v. Hefei Dentafilem (Dental Imaging Equipment, China SPC, 2020–2026)**
Chinese company Meyer said ex-employees took confidential technical data to rival Dentafilem, which quickly released similar CBCT dental imaging products and filed its own patents. In January 2026, China’s Supreme People’s Court ordered Dentafilem and individuals to pay roughly 28 million USD (with punitive damages), one of the country’s largest trade secret awards and a strong signal on employee-driven tech leaks.
- xxii) **Zunum Aero v. Boeing (Hybrid-Electric Aircraft Secrets, 2019–2025)**
Startup Zunum alleged that Boeing used confidential information it obtained as an investor to pursue its own hybrid-electric aircraft concepts, rather than just supporting

Zunum. After trial, a jury found that Boeing misused multiple trade secrets and interfered with Zunum's investor relationships, awarding tens of millions of dollars and highlighting risks when big strategic investors also compete in the same R&D space.

xxiii) AI Training and Fair Use Early Rulings (Meta and Anthropic, 2024–2025)

Several early cases over text and code training (including actions involving Meta and Anthropic) saw courts begin to separate “training on” works from “output copying,” with some judges treating training as potentially transformative. The emerging pattern is that plaintiffs may succeed where they can show outputs that are too close to the originals, but the legal status of training itself remains unsettled.

xxiv) US Copyright Office AI Training Report (Policy on Training Data, 2025)

In 2025, the U.S. Copyright Office released a policy report examining whether ingesting copyrighted works for AI training should require licenses, and how to treat AI-assisted works. While not a case, the report strongly influences courts and legislators and signals that full-automation without meaningful human input will likely remain outside copyright for now.

xxv) Global Trade Secret Update 2024 (Multiple Tech Industries)

A 2024 global review of trade secret cases highlighted trends such as higher damages, more cross-border enforcement, and frequent disputes around employees leaving with code, models, and technical docs. It shows that courts worldwide are increasingly willing to impose serious monetary and personal liability when internal controls on confidential information fail.

xxvi) AI-Created Brand Imitations in Outputs (Hallucinated Logos and Marks, 2023–2025)

Across image and video generators, there have been recurring incidents where outputs show distorted but recognizable versions of famous logos or character designs, prompting warnings and takedowns. These episodes may not always end in full lawsuits but illustrate real-world collision between generative tools and brand protection strategies.

xxvii) Recent Software/App Naming Disputes (Cloud and Dev Tools, 2023–2024)

Law firm round-ups show multiple cases where newer developer tools, APIs, or SaaS dashboards launched with names or UI styles close to established products, leading to formal demands or suits. For a student, the takeaway is that even purely digital names, CLI commands, and icons can spark enforcement actions if they're too close to existing brands.

xxviii) Landmark AI Litigation Trend: Shift from Training to Outputs (2026)

By early 2026, commentators note that new copyright suits are beginning to target specific use-cases (like content generation that replaces licensing) rather than just the act of training. This trend suggests courts and regulators may eventually allow some training uses while cracking down on deployments that compete too directly with original markets.

xxix) Supreme Court's Refusal in Thaler Case as a Signal (2026)

The Supreme Court's choice not to hear Thaler's AI authorship case effectively locks in the lower courts' position that non-human entities cannot be authors under current U.S. law. For software engineers, this means any IP protection for AI-heavy workflows must still be routed through human creative control, contracts, and trade secrets rather than giving the AI its own legal status.

xxx) Apple vs. Epic Games (2020-2021)

Epic Games introduced a direct payment system in Fortnite, bypassing Apple's App Store payment system, which violated Apple's App Store guidelines. Apple's App Store terms require developers to use Apple's in-app purchasing system and pay a commission (typically 30%) on transactions. Epic's action was seen as an attempt to avoid paying this commission, which Apple argued was a violation of its terms and conditions.

Your assigned cases are : *(last two digits of your ID%30)+1* and *(last two digits of your ID%30)+11*. You are required to conduct a detailed analysis of the incidents. Your analysis should cover the following aspects:

- **Background of the Case**

Provide a brief description of the companies involved and the context leading up to the conflict.

- **Triggering Incident**

Explain the specific action or decision that led to the dispute, including relevant dates or timeline if applicable.

- **Legal or Regulatory Issues**

Identify the laws, regulations, or contractual terms that were allegedly violated and explain the conflict.

- **Stakeholders and Their Positions**

List the main stakeholders (companies, customers, regulators) and summarize their positions or arguments.

- **Impact and Consequences**

Discuss immediate outcomes and their effects on finances, operations, or reputation for each party.

- **Court or Regulatory Decisions**

Summarize the verdict, ruling, or settlement, including key points from judicial reasoning or regulatory findings.

- **Broader Implications**

Explain how this case affects industry practices, regulations, or consumer rights, and lessons learned for businesses or policymakers.

- **Personal/Analytical Reflection**

Provide your critical evaluation of the case, discussing fairness, business ethics, or long-term consequences.

2 Who Owns AI Creativity?

With the rise of AI tools like ChatGPT, Gemini or Grok that can generate entire movie scripts, novels, or manuscripts based on user prompts, do you believe this practice constitutes a violation of intellectual property rights, particularly if the AI was trained on copyrighted works from human creators? What ethical or legal boundaries should guide such usage, and how might it impact the creative industries?

Guidelines

Please note that -

- You are allowed to use AI tools, but use AI responsibly.
- All sources must be properly cited.
- The report should be well-structured and professionally formatted.
- Verify all information to ensure accuracy, relevance, and factual correctness.
- For [section 1](#), you must dig deeper into the assigned cases and provide a comprehensive analysis, while for [section 2](#), you should present a well-reasoned argument supporting your own perspective.

Mark Distribution (25 Marks)

- **Task 1 will be evaluated based on your ability to analyze the case, present a clear argument, and support your points with evidence.** (2 ×10 or 20 marks)
- **Task 2 will be assessed based on the depth of your analysis, the clarity of your argument, and the relevance of your presented argument.** (5 marks)

Submission Guidelines

- Use the LaTeX template provided in the previous assignment for your report.
- Submit your report in PDF format.
- Name your file using the following format: FullID_Assignment2_HUM4747.pdf
- Ensure your submission is made before the deadline.